in a drought or their crop got washed away by floods? Where would they go for a loan to meet lumpy expenditure on weddings and festivals? The moneylender, never mind his usurious interest rate, was the tribal community's safety net. It was vacuous on the part of the government to believe that it could free the tribal people from the clutches of the moneylenders without first instituting an alternative.

The Reserve Bank's Outreach

This early experience with tribal indebtedness taught me an important lesson in managing public policy. Competence and commitment are necessary to successfully execute development policies and programmes, but not sufficient. Those working at the field level, in particular, need to have a keen understanding of the psychology of poverty and the sociology of village life.

The prime minister's advice to keep my ear close to the ground, when juxtaposed with my civil service experience, struck a deep chord in me. I made a conscious effort to keep this in mind all through my tenure in the Reserve Bank. I am by no means suggesting that the Reserve Bank is cut off from the real world of everyday people. Far from it. Many, if not most, of the Reserve Bank staff come, like me, from modest backgrounds and have grown up with middle-class anxieties and aspirations. They are also intelligent enough to understand that they must think through all the consequences of their actions, especially keeping in view the levels of poverty and illiteracy in our country.

At the same time, there was also much truth to what the prime minister had told me. The Reserve Bank is an insular institution with not much public interface. In the normal course of their work, the staff do not have occasion to travel into the hinterland of the country. Data and numbers on the economic and financial sector are so much a part of everyday work that real-world perspectives risk being pushed into the background.

It became quite clear to me, early in my term, that deepening the real-world exposure of the Reserve Bank—the outreach—had to be one of my